The act also makes two more provisions with respect to dissolution: (a) a municipality must be given a reasonable opportunity of being heard before its dissolution; and (b) no amendment of any law for the time being in force shall cause dissolution of a municipality before the expiry of the five years term.

Disqualifications A person shall be disqualified for being chosen as or for being a member of a municipality if he/she is so disqualified (a) under any law for the time being in force for the purposes of elections to the legislature of the state concerned; or (b) under any law made by the state legislature. However, no person shall be disqualified on the ground that he/she is less than 25 years of age if he/she has attained the age of 21 years. Further, all questions of disqualifications shall be referred to such authority as the state legislature determines.

State Election Commission The superintendence, direction and control of the preparation of electoral rolls and the conduct of all elections to the municipalities shall be vested in the state election commission.

The state legislature may make provision with respect to all matters relating to elections to the municipalities.

Powers and Functions The state legislature may endow the municipalities with such powers and authority as may be necessary to enable them to function as institutions of self-government. Such a scheme may contain provisions for the devolution of powers and responsibilities upon municipalities at the appropriate level with respect to (a) the preparation of plans for economic development and social justice and (b) the implementation of schemes for economic development and social justice as may be entrusted to them, including those in relation to the eighteen matters listed in the Twelfth Schedule.

Finances The state legislature may (a) authorise a municipality to levy, collect and appropriate taxes, duties, tolls and fees; (b) assign to a municipality taxes, duties, tolls and fees levied and collected by state government; (c) provide for making grants-in-aid to the municipalities from the consolidated fund of the state; and (d) provide for constitution of funds for crediting all moneys of the municipalities.

Finance Commission The finance commission (which is constituted for the panchayats) shall also, for every five years, review the financial position of municipalities and make recommendations to the governor as to:

1. The principles that should govern:
    1. The distribution between the state and the municipalities of the net proceeds of the taxes, duties, tolls and fees levied by the state and allocation of shares amongst the municipalities at all levels.
    2. The determination of the taxes, duties, tolls and fees that may be assigned to the municipalities.
    3. The grants-in-aid to the municipalities from the consolidated fund of the state.
2. The measures needed to improve the financial position of the municipalities.
3. Any other matter referred to it by the governor in the interests of sound finance of municipalities.